



“Earnings growth [for the banking sector] is likely to be in healthy double digits and valuations for most banks are trading at lower than averages, leading to a favourable outlook over the next two to three years”

CHANDRAPRAKASH PADIYAR
SENIOR FUND MANAGER,
TATA MUTUAL FUND

100 |

(with returns of 42.55%), Nippon India Pharma Fund (40.36%), and SBI Healthcare Opportunities Fund (39.72%).

Technology funds were also back in the black in 2023 after witnessing heavy selling pressure in 2022. Data showed that technology as a category, which mostly includes IT funds and IT ETFs, delivered an average return of 30.14% in 2023 against a fall of 23.04% a year ago. However, at present, fund managers are cautious on the IT sector for the near-term considering the ongoing slowdown in the developed markets.

“A global slowdown, lower IT spending, and commodity and wage inflation are putting downward pressure on the IT companies from a near-term perspective. Add to this, the emergence of disruptive AI technologies is further clouding the near-term outlook. Hence, we are underweight on the sector,” says ICICI Prudential’s Tawakley.

The banking sector, which delivered an average return of 18.69% in 2023, too looks attractive to fund managers. Chandraprakash Padiyar, Senior Fund Manager at Tata Mutual Fund, says, “The banking sector is going through a sweet spot from a credit cost perspective. Earnings growth is likely to be in healthy double digits and valuations for most banks are trad-

ing at lower than averages, leading to a favourable outlook over the next two to three years.”

ETFs OR MUTUAL FUNDS?

Asked whether investors should put money into exchange-traded funds (ETFs) or mutual funds, Kotak Mahindra’s Upadhyaya says ETFs are more cost efficient than regular active funds. However, an investor should not make investing decisions solely based on costs. ETFs by design can never outperform their respective benchmarks, while active funds have the potential to outperform their respective benchmarks despite slightly higher costs. The investing decision should be made keeping needs and expectations in mind, say experts.

For Kasera of Mirae Asset Investment Managers (India), the decision between the two ultimately depends on a finer understanding of what each has to offer. “A sector-focussed ETF closely tracks the performance of the underlying sector index and usually carries a lower TER (total expense ratio)/cost. On the other hand, an active sectoral fund, despite a relatively higher TER/cost, has the potential to generate alpha, that is, generate better returns than the underlying index through its differentiated stock selection approach within the sector,” he says.

SECTORS TO CONSIDER

While keeping his preference towards diversified funds like large- and mid-cap, flexi-cap, and multi-cap funds, Padiyar of Tata Mutual Fund suggests sector-specific investors to allocate their wealth in sectors like banking, real estate, infrastructure and manufacturing. “The key reason is the prospect of consistent growth in earnings and scalability that these sectors offer along with reasonable valuation,” he says.

On the other hand, Mihir Vora, Chief Investment Officer of TRUST Mutual Fund, believes that the domestic economy will do better than the global economy. So, he prefers sectors that will benefit from domestic investments and consumption. On an average, consumption funds posted returns of 28.76% in 2023, as opposed to 7.28% in 2022.

“Government spending on infrastructure will continue at a good pace, which should be backed up by the private sector investment cycle picking up. So, we are talking about sectors like capital goods, construction, infrastructure assets, utilities, power, renewables, defence and railways. Within consumption, we are looking for signs of a pick-up in the discretionary space like automobiles, paints and retailing,” adds Vora. **BT**

@iamrahuloberoi